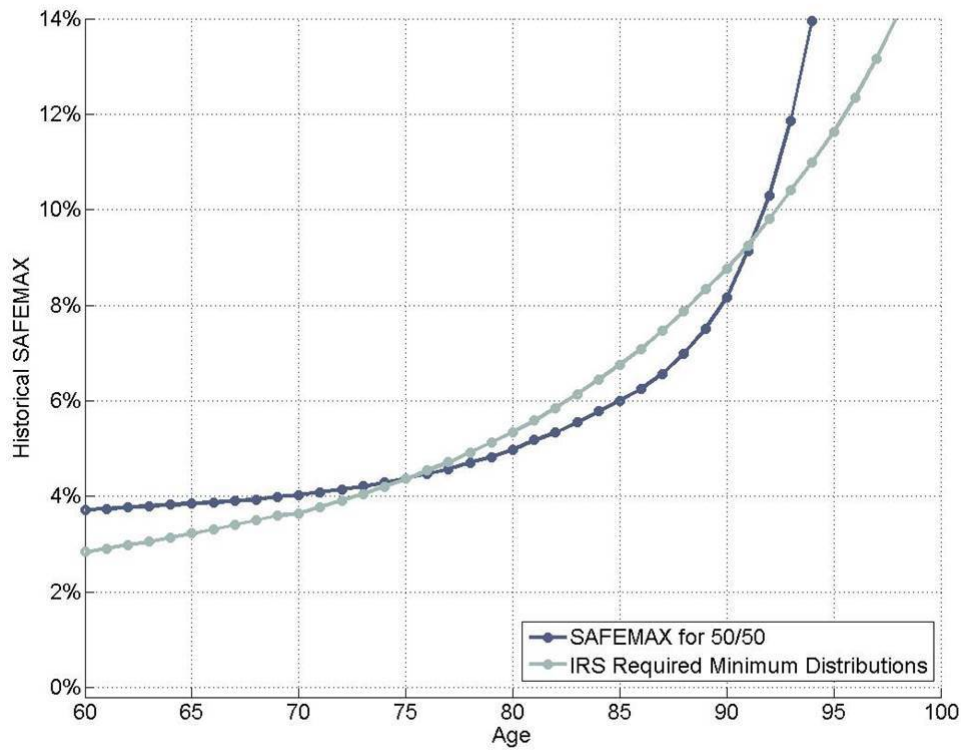


lesson for now is that the assumed retirement horizon is a very important consideration for deciding on a withdrawal rate.

Exhibit 5.24

Connection between SAFEMAX with Planning Age of 100 and RMDs for a 50/50 Asset Allocation, Inflation-Adjusted Spending Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds



Planning with Mortality Data

The second general approach to dealing with the question of longevity and sustainable spending is to leave the concept of planning horizons behind and simply incorporate survival probabilities into calculations. Failure is really only failure if wealth is depleted while you are still alive, not just over an arbitrarily long time period. Implications of using mortality data directly include:

- a shorter average retirement duration than the standard thirty years,
- higher withdrawal rates for a given probability of failure,